increased. It has gone from one extreme to another."

Among these go-to coding assistants are the Github Copilot from Microsoft (not to be confused with its Copilot for general users); Cursor, developed by Anysphere Inc; Claude, built by Anthropic; and Windsurf, a California-based start-up co-founded by Indian-origin American Varun Mohan, who has been making waves this summer with his high-profile move to Google as part of a $2.4 billion deal in July that came smack in the middle of OpenAI's $3 billion bid to acquire the AI coding start-up. In fact, so fast is the pace of AI tools being released to the market that "there is a new model every week" on the tech platform Hugging Face, says the techie cited earlier. "A weekend is enough to see a new AI model surpassing an earlier one that had been doing good."

"There are multiple options in terms of what technology you want to use to write code with AI," says Srikanth Velamakanni, co-founder of Fractal, an AI and analytics firm. "If you think of the life of a software programmer, there are three kinds of activities: code writing, collaboration with other people to understand client requirements, and other activities like writing emails etc. The overall expectation is that if I am spending 100 hours doing software programming, I should be able to accomplish the same work in 75 hours right now."

Velamakanni believes 'no job in full' will go away. Instead, 30-50 per cent of them would be automated in the future. "Therefore, the same work you were doing could be accomplished in half the time. Also, the world will need more and more technology. In fact, the world is getting more 'techified'," he says, citing data that suggests companies worldwide have moved from spending 3 per cent of their budget on technology a decade ago to 4.5 per cent today. "Therefore, tech jobs themselves may not go down," he says. "At an individual level, one will have to make oneself more capable and billable. Every one of us has to think of how to stay relevant in an industry that is moving very fast."

The Billability Factor

Among the factors that determine that relevance is 'billability'. This catchword measures what a client is willing to pay for a professional's time. In a vast majority of IT services, the billing rate of an executive per hour multiplied by the number of hours determines the cost of a project. Senior staff have a higher cost base but may not be as "billable". "If somebody is not billable, it means it will be hard to put their name in the list of members in a project whose time will be charged," says Velamakanni. "They become part of the cost but not of the revenue." By laying off 2 per cent of its workforce, TCS has sent a signal to the remaining 98 per cent to make themselves billable, he adds.

But bald economics is of scant comfort to someone who has been retrenched. Harpreet Saluja, president of the Nascent Information Technology Employees Senate (NITES), an employees' association taking up issues related to IT workers' rights and welfare, points to the 'vicious cycle' of hiring and firing by IT firms. "Entry-level salaries have been stagnant for more than a decade at around Rs 3.5 lakh a year. A firm can fire one person earning a Rs 10 lakh package, and hire two freshers, as well as get tax rebate for fresh employment generation," he alleges. TCS in its announcement said it was laying off mid- to senior-level management. But Saluja points out how the firm had earlier announced plans to recruit 40,000 freshers this fiscal. "If they can recruit 40,000 people, why are they laying off 12,000 experienced people?" Even candidates who got offers via lateral hiring haven't been onboarded yet, he says, a complaint NITES has made to the labour ministry.

"AI will play a significant role in a lot of jobs, including ones involving cognitive skills, which is a new thing," says R. Chandrashekhar, former president of IT industry body Nasscom.

VIEWPOINT

PIVOT AND PROSPER



The Nasscom president advocates taking a long-term view of change rather than focusing on short-term pain

By **RAJESH NAMBIAR**

There is no doubt we are at an inflection point. The reason is that AI and automation are integrating into how businesses operate, which has resulted in changes in the demands made on us. Over the next several quarters, we anticipate a major transition as organisations pivot towards a much more product-aligned delivery model, as opposed to the services- and people-based delivery model. This is being driven by client expectation.

The IT industry is

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>
> **— SRIKANTH VELAMAKANNI**
> *Co-founder, Fractal Analytics*

